

a game changer with this ‘power of bundling,’” he said.

The immediate impact of the merger is quite significant, too. It has catapulted the bank into the list of top 100 lenders in the world in terms of assets. It has a balance sheet size of ₹32 lakh crore, next only to the State Bank of India’s ₹55 lakh crore as of March 31, 2023. ICI-CI Bank stands third with a balance sheet size of ₹16 lakh crore.

On the business side, it has reduced the share of unsecured loans from 30 per cent to 22 per cent of

in mortgage origination and loan servicing processes. There is a huge cross-selling opportunity here, because before the merger only a third of the bank’s branches offered home loans. The bank will now offer home loans through a much larger network. In addition, only 2 per cent of its 70 million customers had taken a home loan from the parent company, HDFC Ltd. “The penetration levels of the home loan product in its customer base and the extent to which the distribution has been leveraged are quite low.

higher amount to meet priority sector lending requirements. “This will slightly impact NIMs (net interest margins) and profitability in the short term,” says Vijaykumar.

Clearly there are matters that will need Jagdishan’s immediate attention. But as the bank treads this promising new journey with Jagdishan and a young management team, it is bereft of stalwarts like Deepak Parekh, Keki Mistry and Renu Sud Karnad, though Karnad will continue to serve on the bank’s board in a non-executive capacity and Mistry

₹32

LAKH CRORE

THE BANK’S BALANCE SHEET SIZE AS OF MARCH 31. THIS IS SECOND ONLY TO STATE BANK OF INDIA’S ₹55 LAKH CRORE

7,800

BRANCHES

TOTAL NUMBER OF BRANCHES OF HDFC BANK AS OF MARCH 31. THIS IS SET TO INCREASE AFTER THE MERGER

22

PER CENT

THE CURRENT SHARE OF UNSECURED LOANS IN HDFC BANK’S LOAN BOOK AFTER THE ADDITION OF HDFC LTD’S MORTGAGES

26

total advances thanks to the addition of low-yield mortgages. This now gives the bank room to advance more unsecured loans, especially personal loans and credit cards. There is also a change from short-term loans to 20-year retail loans in the bank’s book. Before the merger, the bank’s portfolio consisted of auto loans, with the highest tenure of four years, followed by personal loans with two years, two-wheeler loans with a year, and credit cards with the shortest tenure of a month. The mortgage business will bring more stability to the asset mix with growing long-term revenue-generating assets. The key sectors the bank funds are non-banking financial companies (NBFCs), power, oil and gas, and telecom.

The bank also has access to the parent’s 45-plus years of expertise

This is an opportunity,” Jagdishan told employees.

A large balance sheet does throw up challenges in maintaining the bank’s vaunted loan book growth of 20 per cent every year, though. But it also provides the opportunity to take on larger exposure on the wholesale side.

Another challenge is meeting regulatory requirements on the cash reserve ratio (CRR) and statutory liquidity ratio (SLR). V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services, says being a mortgage lender, HDFC Ltd didn’t have any CRR, SLR, or priority sector lending requirements. “So the merged entity, HDFC Bank, will have to meet an additional CRR and SLR requirement of around ₹70,000 crore,” he says.

The bank will have to set aside a

joins it as a non-executive director.

Jagdishan, meanwhile, is banking on the bank’s large and growing distribution and customer franchise, more than adequate capital, healthy asset quality, and profitability to give it a strong foundation to capture growth. “The pace at which we aim to grow, we could be creating a new HDFC Bank every four years,” said Jagdishan.

Perhaps recognising this need to chart a new route to success, Parekh recently emphasised that the greatest risk organisations face in today’s dynamic landscape is clinging to the status quo. He recognised that embracing change requires courage. It is now Jagdishan’s turn to steer the group to success like his illustrious predecessors did. **BT**

@anandadhikari